

ECONOMICS PAPER 1

(Mock Test 38)

Time allowed: 40 minutes

INSTRUCTIONS

1. Read carefully the instructions on the Answer Sheet. After the announcement of the start of the examination, you should first stick a barcode label and insert the information required in the spaces provided. No extra time will be given for sticking on the barcode label after the 'Time is up' announcement.
2. When told to open this book, you should check that all the questions are there. Look for the words '**END OF PAPER**' after the last question.
3. All questions carry equal marks.
4. **ANSWER ALL QUESTIONS.** You are advised to use an HB pencil to mark all the answers on the Answer Sheet, so that wrong answers can be completely erased with a clean rubber. You must mark the answers clearly; otherwise you will lose marks if the answers cannot be captured.
5. You should mark only **ONE** answer for each question. If you mark more than one answer, you will receive **NO MARKS** for that question.
6. No marks will be deducted for wrong answers.

Not to be taken away before the end of the examination session

There are 30 questions in this paper. Choose the **BEST** answer for each question.

1. Miss Wong owns a commercial property which is worth \$20,000,000. She is considering selling the property and depositing the \$20,000,000 in a bank at an annual interest rate of 4%. She can also rent out the property at \$60,000 a month.

Under which of the following situations will Miss Wong's opportunity cost of renting out the property increase?

- (1) The government announces plans to build a railway station near the property, making transportation in the area more convenient in the future.
 - (2) The annual interest rate on deposits is adjusted to 5%.
 - (3) The rental value of Miss Wong's commercial property increases.
- A. (1) only
 - B. (3) only
 - C. (1) and (2) only
 - D. (1), (2) and (3)

2. Zoe is thinking about her career plan. She has several options and her order of preference is shown below:

First option: to work as an intern at a restaurant in Japan

Second option: to work at a local bank

Third option: to work in Australia for one year through the Working Holiday Scheme

Which of the following factors would affect Zoe's cost-benefit analysis for her choice?

- (1) The restaurant provides free meals to Zoe.
 - (2) The bank increases the wage level of new employees.
 - (3) Finding a job in Australia is more difficult than expected.
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

3. Which of the following situations imply the existence of scarcity?

- (1) Interest exists.
 - (2) Goods have market prices.
 - (3) People compete to get what they want.
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

4. Compared with a market economy, in a planned economy,

- A. people are richer.
- B. there are fewer unemployed people.
- C. there are more public goods.
- D. fewer resources are privately owned.

5. When private property rights are not well defined,
- (1) market transactions may not occur.
 - (2) non-price competition is more likely to arise than when private property rights are well defined.
 - (3) resources are more likely to be allocated to their highest-valued use than when private property rights are well defined.
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

6. Mr. Chan and Ms. Wong jointly own a firm. The firm cannot issue shares and bonds to the public.

Which of the following statements about the firm is **CORRECT**?

- A. The profits tax rate paid by the firm is lower than that of a limited company.
- B. The upper limit on the number of owners of the firm is 50.
- C. The firm cannot own assets under its name.
- D. Mr. Chan cannot freely transfer his ownership of the firm.

7. Refer to the following information about two firms in Hong Kong.

	Firm A	Firm B
Disclosure of accounting information to the public	Yes	No
Legal entity	Yes	Yes

Based on the above information, which of the following statements is/are **CORRECT**?

- (1) When the two firms have the same amount of profit, they are subject to the same profits tax rate.
- (2) Firm A can issue shares and bonds while firm B cannot.
- (3) Firm A has better continuity than firm B.

- A. (1) only
- B. (1) and (2) only
- C. (2) and (3) only
- D. None of the above.

8. Some shopping malls provide people with free shuttle bus service between railway stations and the shopping mall. The free shuttle bus service is a _____ because _____.

- A. free good ... people do not need to pay for the service
- B. capital good ... people prefer more of the service
- C. private good ... concurrent consumption of a seat is not possible
- D. consumer good ... it is used for final consumption

9. Which of the following statements about economic goods is **CORRECT**?

- A. An economic good may not have a market price.
- B. The demand for an economic good is greater than its supply.
- C. People prefer economic goods to free goods.
- D. Economic goods are produced by people using scarce resources.

10. The Hong Kong SAR Government announced that it would expand the list of eligible universities under the Top Talent Pass Scheme (TTPS) and extend the validity period of the first visas from two years to three years to attract more talent to come to Hong Kong for development.

The above measure will lead to

- (1) an increase in the geographical mobility of labour in Hong Kong.
- (2) an increase in Hong Kong's average labour productivity.
- (3) an increase in Hong Kong's labour supply.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

11. The following table shows the input-output relationship of firm A and firm B.

	Firm A	Firm B
Number of workers	30	40
Number of working hours per worker per day	10	6
Quantity of output (units)	3,000	3,600

Which of the following is a possible reason for the difference in labour productivity between firm A and firm B?

- A. Firm A practises a higher degree of division of labour.
- B. Firm A adopts piece rate while firm B adopts time rate.
- C. The management of firm B is better.
- D. The working environment of firm B is worse than firm A.

12. Which of the following are variable costs involved in extending the opening hours of a fast food shop?

- (1) business registration fee
- (2) rates
- (3) expenditure on ingredients
- (4) electricity fee

- A. (1) and (2) only
- B. (3) and (4) only
- C. (1), (3) and (4) only
- D. (2), (3) and (4) only

13. The following table shows the relationship among input, output and cost for a firm.

Machinery (units)	Labour (units)	Total product (units)	Total production cost (\$)
5	1	5	200
5	2	15	300
5	3	24	400
5	4	32	500
5	5	39	600

Which of the following statements about the firm is **CORRECT**?

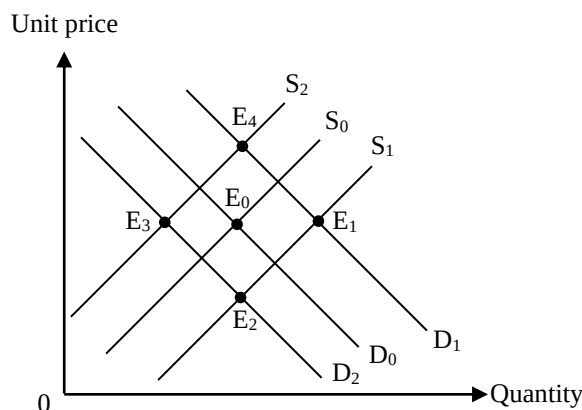
- A. The law of diminishing marginal returns applies to the firm.
 - B. The firm enjoys economies of scale.
 - C. The optimal scale of production is 24 units.
 - D. When the quantity of labour is 2 units, the average output of labour is the highest.
14. Mr. Lee runs a travel agency that specialises in organising local tours. Which of the following will raise its profit-maximising output?
- A. The rental for the premises of the travel agency decreases.
 - B. The basic hourly wage of tour guides increases.
 - C. More tourists prefer to travel by themselves instead of joining local tours.
 - D. Some travel agencies that used to organise local tours close their businesses.
15. A Hong Kong chain fashion store acquired an Indonesian garment factory.

Which of the following is the **LEAST** likely motive for the above acquisition?

- A. to enhance its corporate image
 - B. to enjoy economies of scale
 - C. to ensure a reliable supply of input
 - D. to develop sales channels for its products
16. Which of the following statements about shortage and scarcity is **CORRECT**?
- A. The existence of shortage implies the existence of scarcity.
 - B. The existence of scarcity implies the existence of shortage.
 - C. There may also be shortage for a free good.
 - D. Adjusting the market price can eliminate shortage and scarcity.
17. Country A is an importing country of electronic products. As the price of oil drops, the transportation cost for electronic products decreases. Which of the following is/are effect(s) of the above event?
- (1) The sales volume of electronic products will increase.
 - (2) The average quality of electronic products sold in the market will decrease.
 - (3) The proportion of high-end electronic products sold in the market will increase.

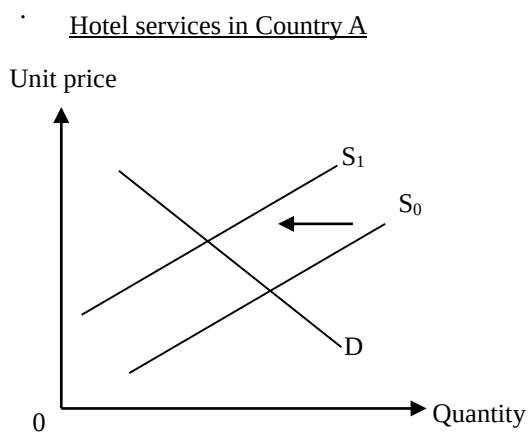
- A. (2) only
- B. (3) only
- C. (1) and (2) only
- D. (1) and (3) only

18. The following is a demand-supply diagram for the residential rental market. The original equilibrium point is E_0 .

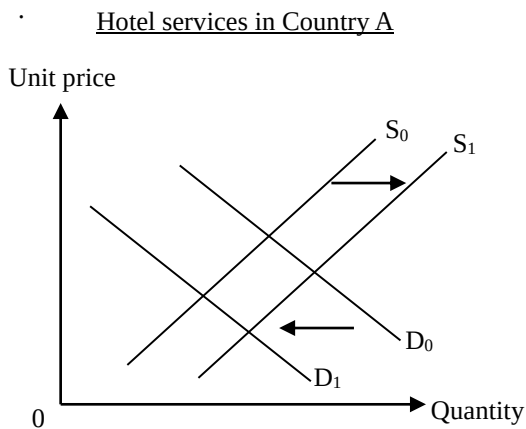


Suppose the government reduces the tax deduction for domestic rental expenses. At the same time, many private residential properties have been completed. The new equilibrium point will be _____.

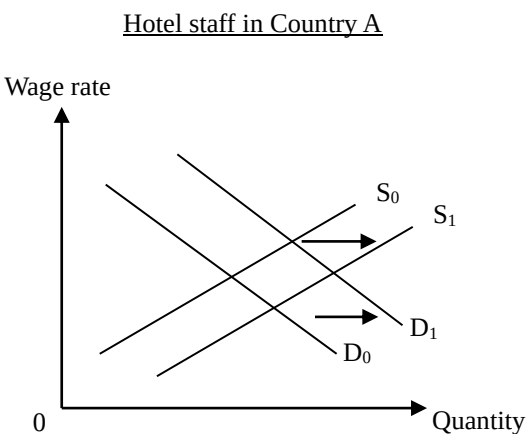
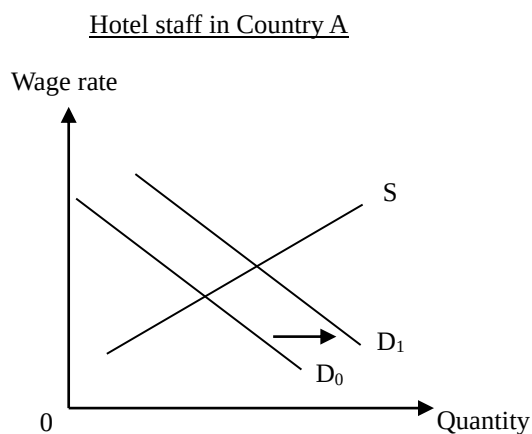
- A. E_1
 B. E_2
 C. E_3
 D. E_4
19. Suppose the government of Country A simplifies the procedures for foreign tourists to apply for tourist visas. At the same time, more graduates expect the average wage in the hotel industry to increase. Which of the following diagrams can best describe the effect of the above events?



C.A



D.B



20. An increase in the price of _____ will lead to an increase in the price of _____.
- (1) fitness centre membership ... home fitness equipment
 - (2) beef ... leather
 - (3) milk ... ice cream
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)
21. As the supply of raw materials for producing sports shoes is suspended, the price of sports shoes has increased by 10% and the quantity transacted has changed by 20%. Which of the following best explains the above changes in the price and quantity transacted of sports shoes?
- A. Sports shoes are highly durable.
 - B. Sports shoes are necessities for consumers.
 - C. Sports shoes manufacturers have spare production capacity.
 - D. Equipment for producing sports shoes is not readily available.

22. Refer to the following supply and demand schedules for good X.

Unit price (\$)	Quantity demanded (units)	Quantity supplied (units)
2	70	40
3	60	45
4	50	50
5	40	55
6	30	60

Suppose the government imposes a per-unit sales tax of \$3 on each unit of good X sold. Which of the following statements about good X are **CORRECT**?

- (1) The demand for good X is more elastic than its supply.
 - (2) Sellers' revenue net of tax is \$200.
 - (3) Total tax revenue is \$120.
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)
23. The government of Country A imposes a quota limit on imported textiles to protect the local textile industry. Which of the following statements is **CORRECT**?
- A. The total wage earnings of workers in the local textile industry will increase.
 - B. Country A's demand for imported textiles will decrease.
 - C. The supply of textiles in Country A will increase.
 - D. If the demand for imported textiles is inelastic, consumers' expenditure on imported textiles will decrease.

24. Which of the following is **NOT** a common feature of monopolistic competition and oligopoly?

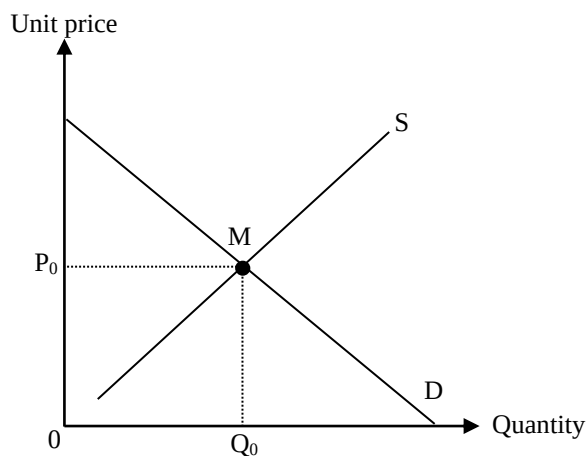
- A. The firms can adjust their prices to maximise profits.
- B. The firms are interdependent in their pricing strategies.
- C. The firms may engage in non-price competition.
- D. Neither buyers nor sellers have perfect market information.

25. As more people prefer fresh food, firms shut down canned food production lines and switched to producing fresh food.

The above case illustrates the _____ function of price because _____.

- A. allocative ... profits from producing fresh food are higher
- B. allocative ... more resources are used to produce fresh food
- C. rationing ... the supply of fresh food will increase as prices increase
- D. rationing ... fresh food is distributed to the highest-valued users

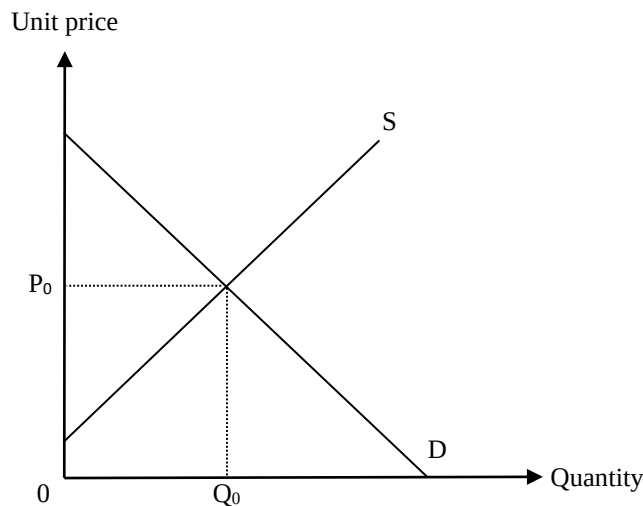
26. Refer to the following diagram.



Point M is the mid-point of the demand curve. When the government imposes an effective price floor on the good, the total revenue of producers will _____ and consumer surplus will _____.

- A. increase ... increase
- B. increase ... decrease
- C. decrease ... decrease
- D. decrease ... increase

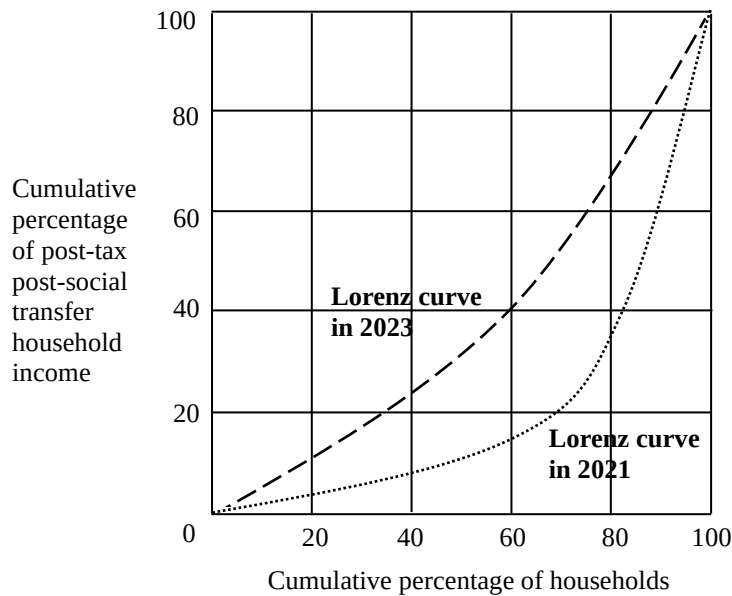
27. The diagram below shows the demand-supply diagram for good X. Initially, the market for good X is in equilibrium.



Suppose the demand for good X increases. Which of the following statements are **CORRECT**?
(Assume the demand curve for good X shifts parallel.)

- (1) The consumer surplus in the market of good X will increase.
 - (2) The producer surplus in the market of good X will increase.
 - (3) The marginal cost of producing the last unit of good X will increase.
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)
28. After the completion of a large private housing estate, the number of diners at restaurants in the nearby shopping malls has significantly increased. Which of the following statements is **CORRECT**?
- A. The developer of the housing estate should charge these restaurants to improve efficiency.
 - B. The diners that the housing estate brings to these restaurants is an external benefit to the developer of the housing estate.
 - C. If these restaurants pay the developer of the housing estate, there will be no divergence between private and social benefits.
 - D. If these restaurants are owned by the developer of the housing estate, there will be no divergence between private and social benefits.

29. The diagram below shows Lorenz curves for Country A, constructed based on post-tax post-social transfer household income.



Which of the following can best explain the above change in the Lorenz curve?

- A. Between 2021 and 2023, the tax system changed from progressive to regressive.
 - B. The government raised the standard tax rate of the salaries tax between 2021 and 2023.
 - C. The government reduced the transfer payments to the poor between 2021 and 2023.
 - D. Between 2021 and 2023, the percentage increase in post-tax post-social transfer income of low-income households was lower than that of high-income households.
30. Which of the following government policies are likely to make income distribution more even and at the same time increase the number of people being employed in the economy?
- (1) subsidizing employers to hire people with disabilities
 - (2) reducing the basic allowance for the salaries tax
 - (3) increasing the amount of unemployment benefits
 - (4) increasing the subsidies provided to citizens for public transportation expenses
- A. (1) and (3) only
 - B. (1) and (4) only
 - C. (2) and (3) only
 - D. (2) and (4) only

END OF PAPER